

ICTS Established 2005

Indore's city bus service, covering 26 high-travel routes with a fleet of 120 air-conditioned, GPS-enabled and low-floor buses is a model of public-private partnership

SETTING THE STANDARD

When he started out, Pankaj Kshirsagar, 31, thought there was nothing worse than travelling by city buses. But for this sales executive working with a private FM radio in Indore, the snob value of riding his own sleek 150-cc bike doesn't hold any more. "The comforts of the air-conditioned buses are unmatched. I don't have to bother about the heat and dust or the hazardous traffic," he says. Indore, the commercial hub of Madhya Pradesh, is a typical growing metropolitan city with its congested roads. That was till three years ago when the then

collector Vivek Agarwal, 38, devised a financial model for a public transport system that has not only turned out to be a success but also inspired copycat services at Bhopal and Jabalpur. Indore City Transport Services Ltd (ICTS)—jointly owned by the city's municipal corporation and the development authority—is a model of public-private partnership that has all the stakeholders smiling all the way to the bank, with the private sector not having ownership but only bidding for routes. ICTS was formed in December 2005 and its serv-

ices launched in January 2006.

The intra-city service covers 26 high-travel demand routes with its broad-door, low-floor fleet of 120 buses with 175 more due to hit the roads soon. Commuters who take the buses swear by the prompt, problem-free and air-conditioned service with ample leg-room. Its capacity—44 seats in 2x2 theatre-type seating and 40 standees with eight passengers able to alight at a time. Four private operators—Dayajeet Nimay Logistics, Rama Jyoti Travels, Anam Travels and Priyadarshani Transport Service—pay a monthly instalment to the company and also share the revenue with it in a ratio of 20:80 in passes and tickets and 40:60 in advertising on the bus and bus stops. Pilferage has been kept to zero with a computerised ticket vending system. With an initial investment of Rs 12.5 lakh each from the Indore Municipal Corporation (IMC) and Indore Develop-

ment Authority, the company earned over Rs 60 lakh last year. Completely financed by the bank and backed by an agreement that has been executed by the company and bank, the operators have turned in a neat share of the booty.

40 per cent
of road-based traffic is carried by the national highways in India that stretch over 66,590 km.

With the help of GPS, the management keeps a real-time tab on the location and timing of the buses catering to a population of 27 lakh that went up by almost 50 per cent during the period 1991-2001. ICTS has also launched 100 air-conditioned, GPS-tracked metro taxis available within minutes of a phone call. The public-private partnership route is being taken even for 20 multi-level parking projects in the city. The project, first conceived in the end of 2007, has received the Centre's approval under JNNURM. The Centre would foot half the bill for the Rs 56-crore project while the rest would come from the IMC, for which private players will be roped in. Clearly, it's about making fast connections.

by Ambresh Mishra



Vivek Agarwal 38, Creator

"Indian cities follow a haphazard pattern of growth making it difficult to plan and execute a proper system. The key is to think out of the box."